CITY OF PARRAMATTA

HOUSING PROPERTY ANALYSIS (LGA)

CITY OF PARRAMATTA.

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Real Estate Investment.
Data Visualization and Storytelling.

CITY OF PARRAMATTA

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This study analyses median housing prices across Parramatta suburbs to identify potential long-term property investment opportunities. 1

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Under various factors, Parramatta is a good place to move ?

1. ABSTRACT

This study analyses median housing prices across Sydney suburbs to identify potential long-term property investment opportunities. The analysis focuses on capital gain potential, evaluating historical price growth trends rather than rental income. Using suburb-level median property price data, the study compares price performance and growth patterns across different Local Government Areas (LGAs). The findings aim to provide data-driven insights to support investment recommendations for clients seeking to hold property assets for at least five years.

2.1 RESEARCH CONTEXT

There were debating about housing crisis affordability in Sydney where we found that a significantly rise in housing prices will increase mortgage payments, leading to a reduction in housing affordability. The fact that that news has ***put younger generation in Australia at risk of seeking to purchase a home, renting, and put more effort to find the second-best place to move out***. Financial advisors must regularly evaluate which areas offer strong long-term investment potential. Different managers within advisory firms may promote different investment strategies or geographic preferences, creating a need for objective data analysis.

This research provides analytical evidence to support strategic property investment recommendations. Parramatta is considered as the new place where have been tackling Sydney's housing and economic response.

2.2 WHY PARRAMATTA ?

"The city is already home to Fortune 500 companies, at least 10 universities and TAFEs, and some of Australia's fastest-growing commercial". *(Source: Why real estate is a smart investment model Journal).*

Parramatta is positioned as **Sydney's second urban transformation**. Investors kept an eye on the hotspot for apartment development. Parramatta's footprint remains surprisingly compact, with undeniable potential to grow both its immigration and its housing supply. City of Parramatta is delivering the solution of planning for housing in areas like Telopea, Wentworth point, Melrose Park, etc. This states that Parramatta has put more effort to meet catch up the faster growth of property demand. The challenge is guaranteeing the stable city's growth – successfully satisfy the homes and opportunities Sydney needs.

2.3 DATASET

- The dataset used in this study is divided into two distinct time periods to enable comparative analysis and reflection.

  - The first period covers historical housing price data from ***1991 to 2017***, providing a long-term perspective on property market trends.

  - The second period focuses on ***2021***, allowing the analysis to reflect more recent market conditions and evaluate how current trends compare with historical patterns.
- The dataset consists of median housing prices across suburbs in Sydney and surrounding areas.
- Data is aggregated at the suburb or Local Government Area (LGA) level.
- Median values are used to represent overall market trends while reducing the influence of outliers.
- Property characteristics such as dwelling size, number of bedrooms, and property type are excluded for simplicity.
- The dataset focuses exclusively on housing price trends over time, enabling analysis of capital growth patterns.

03 ADVANTAGES

HOUSING AFFORDABILITY

As we can see from figure 1, in terms of nominal and real house price:
The average housing price in Parramatta stands out as the **third most affordable** place historically, followed by Auburn and Canterbury. which indicates that Parramatta is **potential entry access** and also cheaper in 2017 in terms of after-adjusted price.

The different gap is significantly smaller than top-tier LGA - recommending Parramatta is relatively fairer priced compared to high price suburbs, such as Ku-ring-gai Council and Hunter Hills.

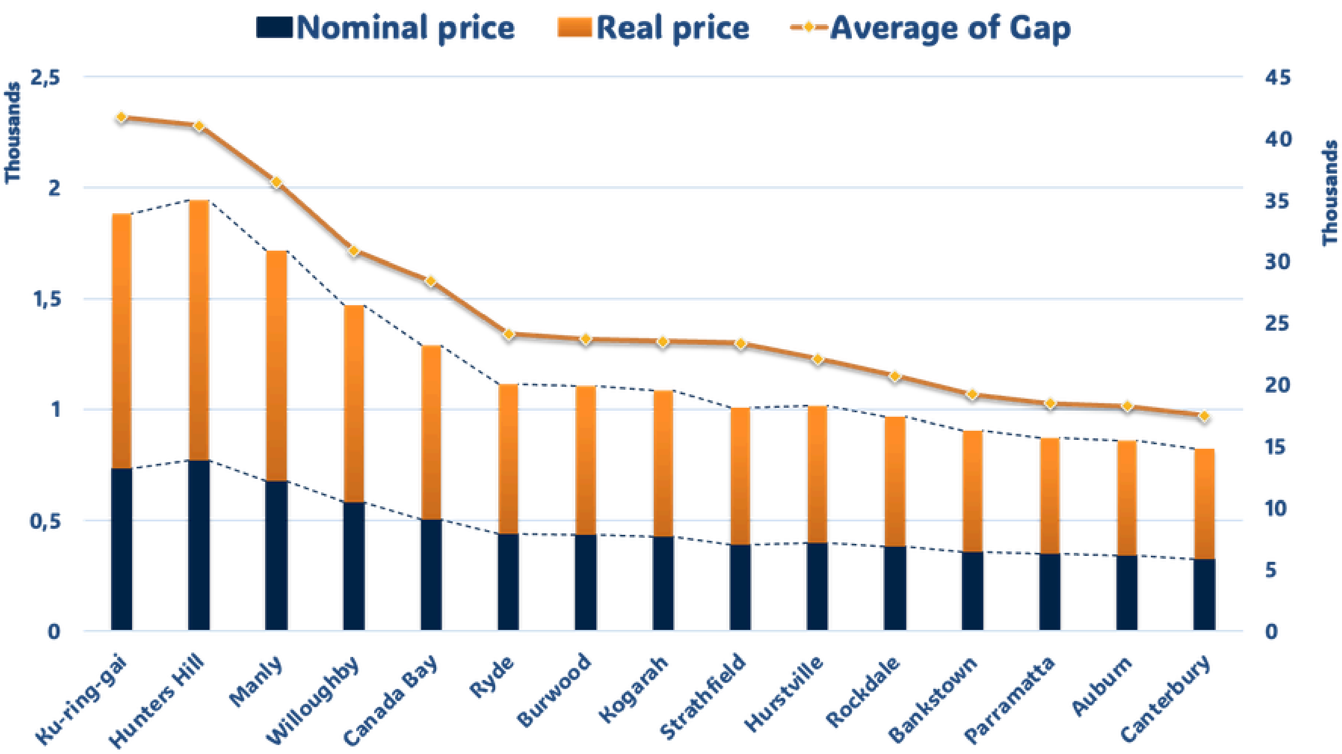

FIG 1. NOMINAL PRICE AN REAL PRICE ON AVERAGE BY ALL DWELLING IN MIDDLE REGION.

NOMINAL PRICE AND YOY GROWTH (%)

******* *The dollar amounts in the first 2 data sets are not adjusted for inflation.* ***Final results were adjusted by using CPI value*** *of the second quarter*

**** Nominal price ((unadjusted price) representing the initial payment for each property.*

**** Because the dataset bias "Parramatta" data including Quarter 1 2017, so we filter the time range from 1991-2016Q1 when comparing other regions.*

NOMINAL PRICE AND YOY GROWTH (%)

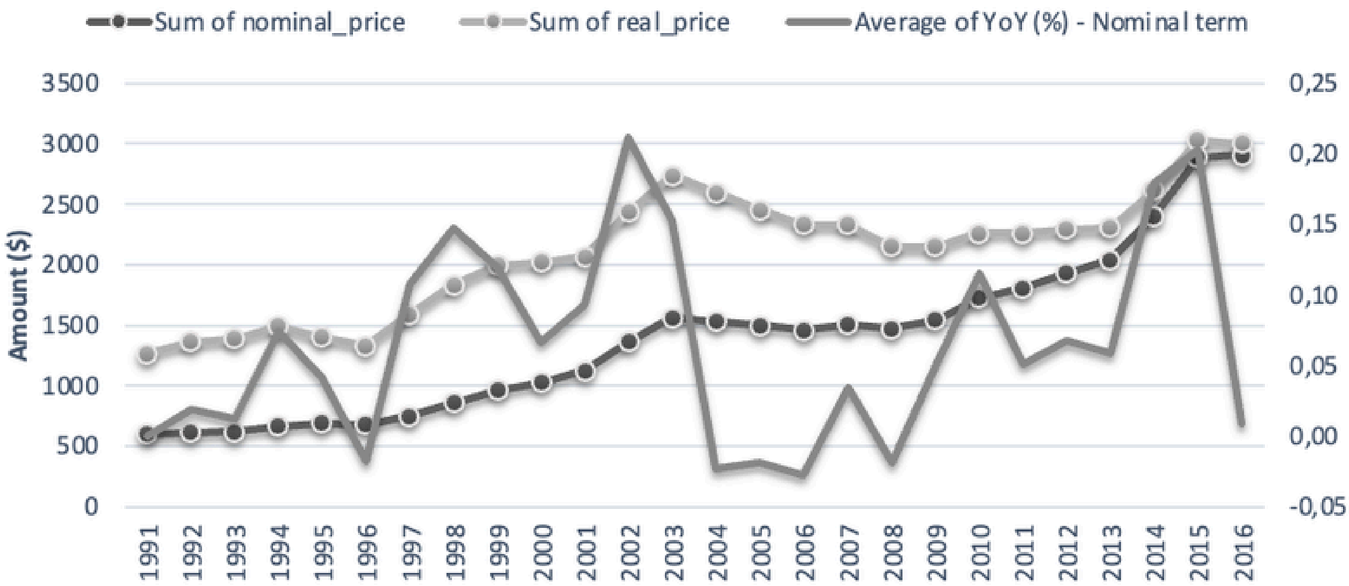

FIG 2: THE GROWTH OF NOMINAL AND REAL MEDIAN HOUSE PRICE OVER TIME (1991Q2-2016Q2)

House prices have risen across Parramatta over the decade to the last quarter of 2016 (**Fig.2**). The median price for all dwelling in Parramatta increased substantially, with ***the median house price increasing from around $1.26 million in the first quarter of 1991 to around $2.74 million in 2003***. After a decreasing trend in home sales later in 2003-mid 2009 due to the bid financial crisis.

The median transfer price of attached dwelling (combine strata and non-strata) in 'Sydney's second CDB' also generally ***back to recovery since 2010 onward***. While housing prices in the low top-premium LGA like Parramatta have also risen over time, they generally ***remain lower than those in top-premium high price LGAs***, proportionally indicating sustained long-term fundamentals growth.

The notice is that the red line which is claimed for nominal price* ***is often flatter or has declined*** even when the nominal price is rising — meaning that in some periods, ***most of the "price growth" was just inflation***, not real value increase (**Fig.2**).

YoY growth (the blue line) is volatile and cyclical: YoY growth rates fluctuate significantly (***peak at nearly 20% at early 2002, dips negative in other times***), suggesting timing risk in short-term when investors could face losses if they encounter *at the peak of cycle* (**Fig2**).

=> **Attractive for entry-level affordability across the Middle ring regions, make room for price growth in future while Parramatta is well-known as Sydney's "second CBD" with ongoing infrastructure and social development. That could be a stable choice and offer catch-up growth potential.**

03 ADVANTAGES

STANDARD DEVIATION

A comparative housing price have not been the only factor driving up the desirable decision of investing property in Parramatta. ***Insignificant volatility in more recent time*** have emerged as a key contributor to higher investment potential.

- ***The lowest ranking of volatility in YoY growth*** (**Fig.3**) in terms of Yes-strata dwelling median real price across the Middle ring and Sydney suggest a stable market with steady increase over time in Parramatta.
- ***Investors can be safe when deciding to invest in the short-term***. Demand can potentially increase because buyers tend to look for affordable and stable residential place amid cost of living pressure -> increasing the demand for strata dwelling thanks to its affordable price and lower volatility

POPULATION GROWTH

Parramatta stands uniquely positioned to attract its workforce and young labor in the current context of ***Australia populated explosion and higher immigration level***.

- Parramatta witnessed the ***strong growth, up to nearly 44% gain*** since 2001 where only 23% growth is held in the highest density Canterbury-Bankstown **(Fig 4)**.
- Parramatta is now becoming a population heavyweight in Sydney's middle ring, with strong growth comparable to city of Sydney. Nevertheless, the emergence of populated growth can explain the surging housing demand.

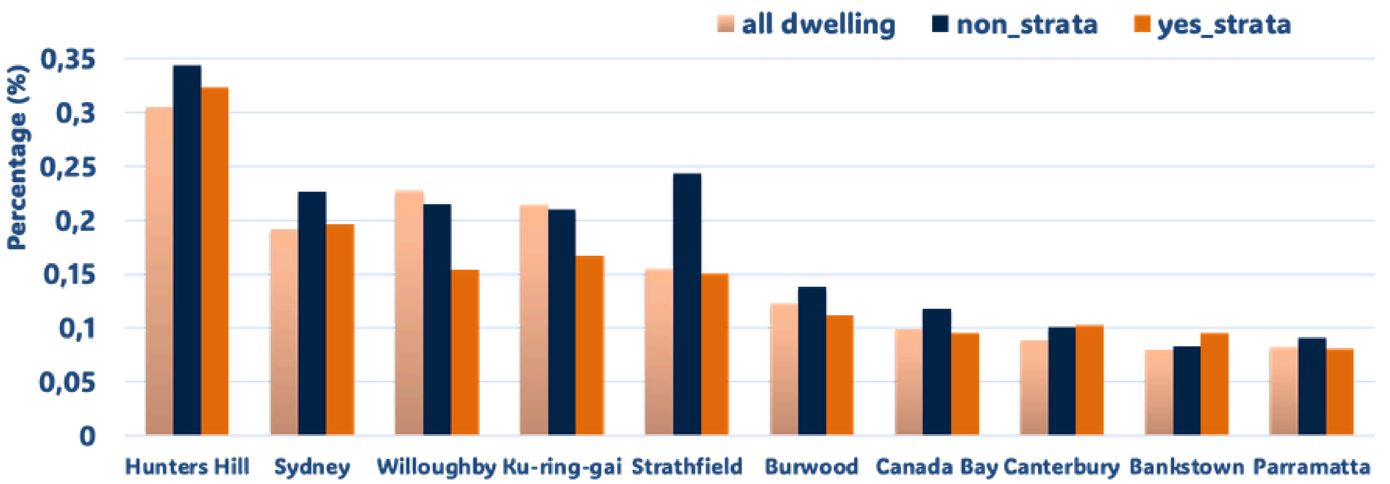

FIG 3: VOLATILITY OF REAL PRICE YOY GROWTH (%) IN THREE TYPES OF STRATA PROPERTIES.

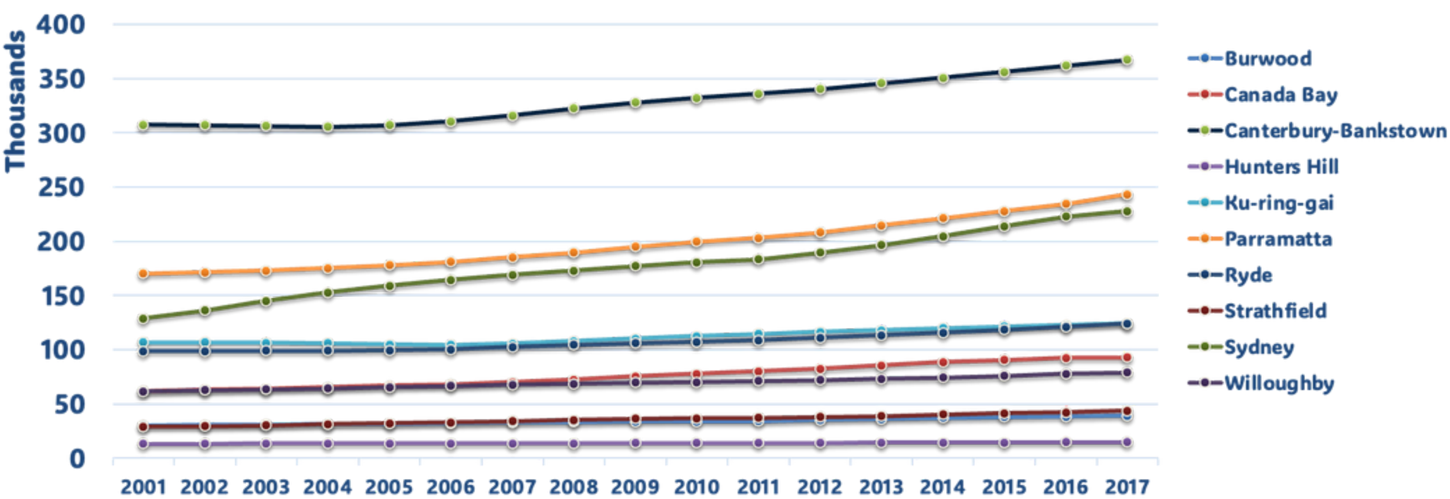

FIG 4: POPULATION IN MIDDLE RING AND SYDNEY BY REGION (TOTAL PERSON) IN 2001-2017

04 DISADVANTAGE.

While property investment in Parramatta stands to be a promising thing for several reasons, as usual, it takes its share of drawbacks.

PERCENTAGE CHANGE (%) IN HOUSING PRICE

Nominal price nearly doubled, but after adjusting for inflation, ***real growth is much lower, below 50% increase*** (Fig 4) => Nominal rate in Parramatta seems to ***over-evaluated performance*** of property sales.

- After 2015, the nominal YoY growth still shows a positive rate (~10%), even as the market started cooling. Peaks reached 21% in 2002, making growth look stronger than it really is (Fig.2).
- The sharp rise in housing price in nominal terms is exacerbated affordability and financial stability pressure compared to other premium LGAs.

The QoQ change (%) is ***higher volatile and sensitive*** to inflation rate, reacting and chasing QoQ on quarter to quarter gain can be risky (Fig 5)

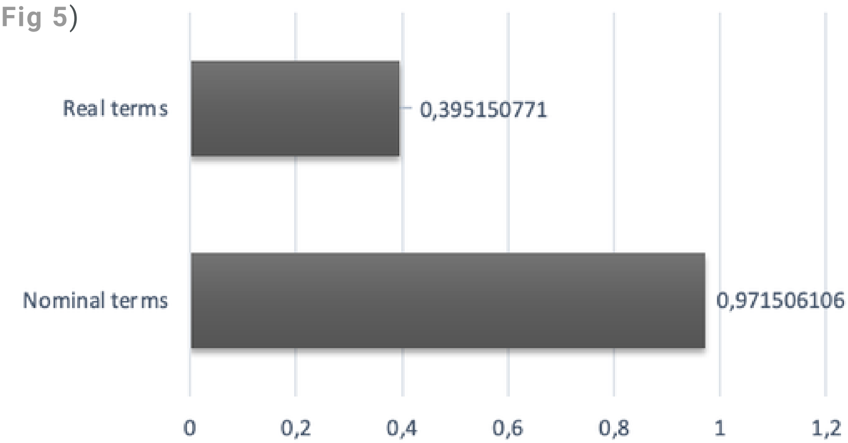

FIG 4: THE CHANGE (%) IN HOUSING PRICE FROM THE FINANCIAL CRISIS (2008) ONWARD.

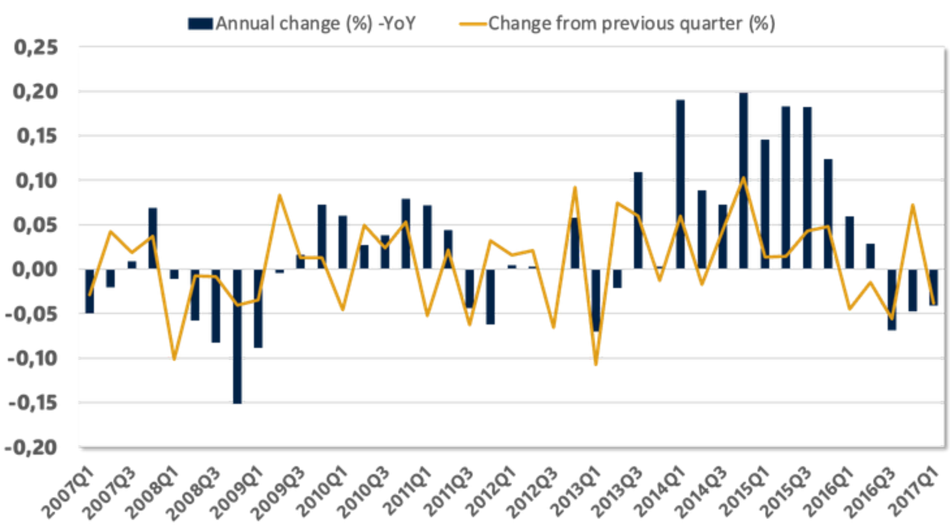

FIG 5: PARRAMATTA'S MEDIAN HOUSING PRICE, QUARTERLY AND ANNUAL CHANGE (%)

0 5 DISADVANTAGE.

YOUNGER LABOR FORCE

Over the past two decades, Parramatta has witnessed substantial commercial growth as known as the Sydney' second business district. The bar chart below shows the variety of aging level in different regions including Parramatta, Greater Sydney and Bankstown. While ***the high concentration of population (Fig2)*** but the data for ***worker age from 20-59s recorded is still lower than that for Sydney*** and post-merged Canterbury-Bankstown.

This demographic profile, with a relatively higher concentration of younger and older populations compared to key LGAs, suggests ***limited value creation opportunities***. Investors seeking long-term growth may find this area less attractive for capital deployment.

- At ***approximately 2,4m, Parramatta's youth working-age population is 0,5m lower than that of Sydney***, means, may struggle to attract potential young age labor force at the same scale of business, service, and infrastructure funding compared to that premium LGAs.
- The ***most potential 25-34 aging basket*** is largest, but this cohort typically faces the most financial burden on entering the housing market even the fact that the median transfer house price is remaining increasing over the past decade.

STRATA VS NON STRATA

- Average median housing prices for yes strata such as flat, apartment was comparable to those for non-strata (***$481.435 per week compared with $660.778***), which is predicted to decrease significantly over the following time whereas those for the counterparts still continuously increased.
- Non-strata price is highly volatile even with the sharply tripled increase since 1995.
- From 1995-2002, there was not too far apart between Yes strata units and land-heavy non-strata units, but from 2003 onward, this gap has been widened too far away from each other => **showing the fact that land-heavy non-strata dwellings usually appreciate faster than strata owned dwellings.**

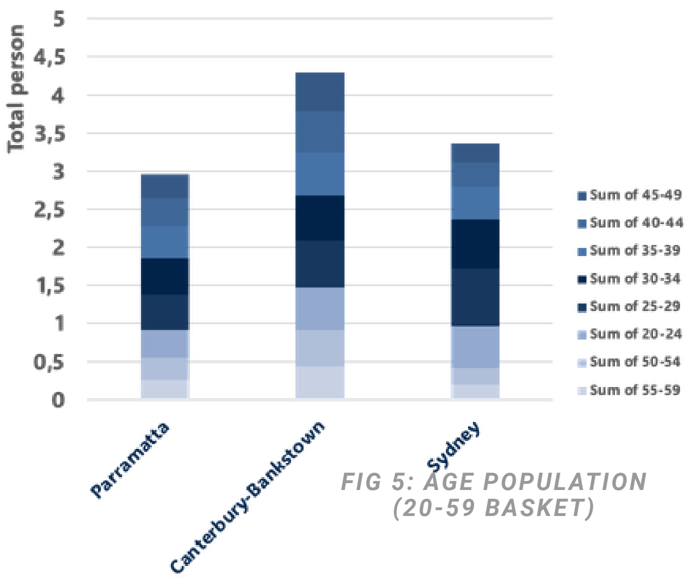

FIG 5: AGE POPULATION (20-59 BASKET)

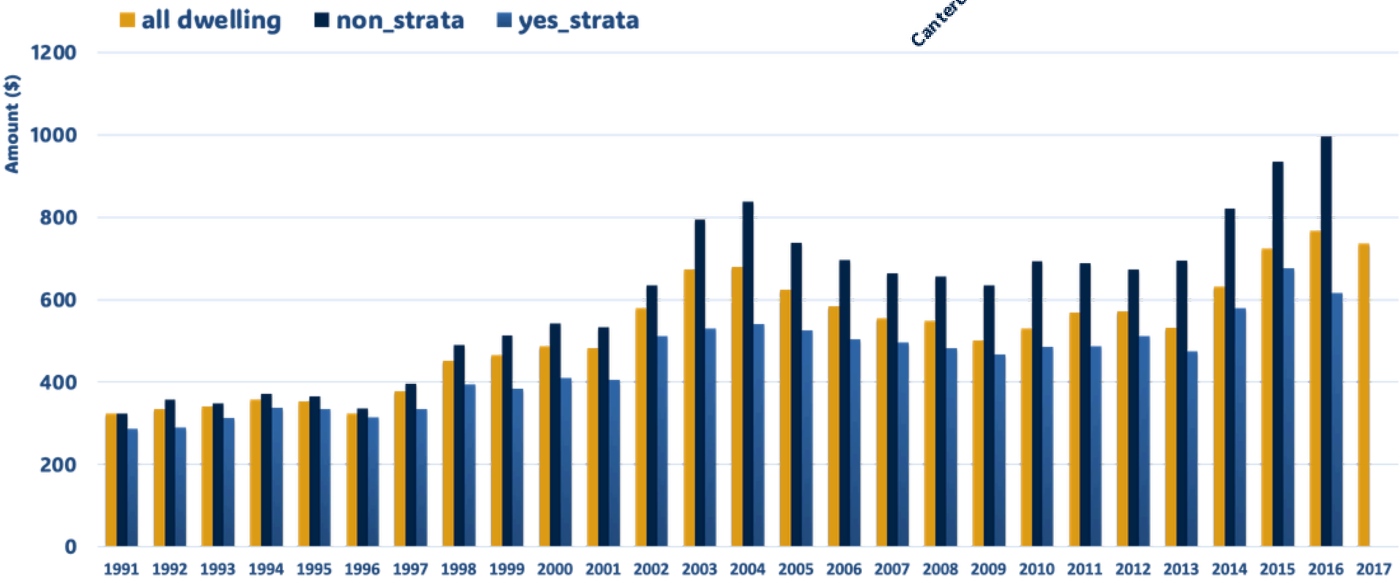

FIG 6: PARRAMATTA'S MEDIAN AVERAGE REAL PRICE: STRATA VS NON_STRATA VS ALL DWELLING

06 REFLECTION

PRICE GROWTH (2016-2021)

Almost one-third (31%) of households in Australia were estimated to be renting in 2021 (ABS 2022b). Between 2016 and 2021, property prices in Parramatta experienced steady growth in real terms, recording by 1.74%. The reflecting strong demand driven by infrastructure development, population growth, and its emergence as Sydney's second CBD. Notably, the growth rate remained more moderate compared with premium suburbs, suggesting a ***healthier market expansion with relatively lower overvaluation risk*** (**Fig.6**).

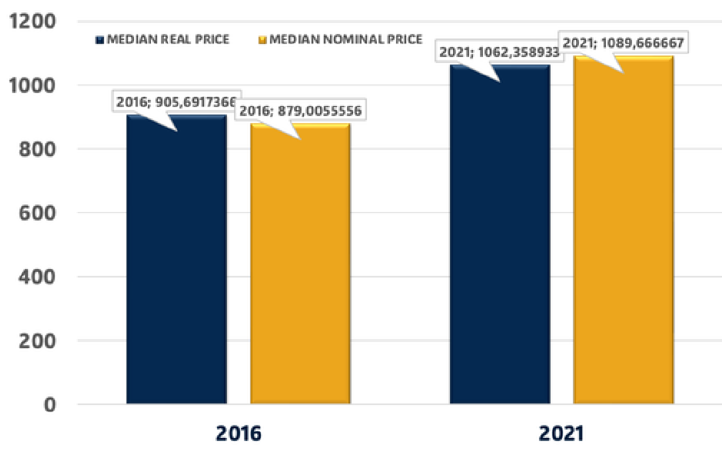

FIG 6: THE MEDIAN TRANFERRED HOUSE PRICE IN 2016 AND 2021

JOB OFFER

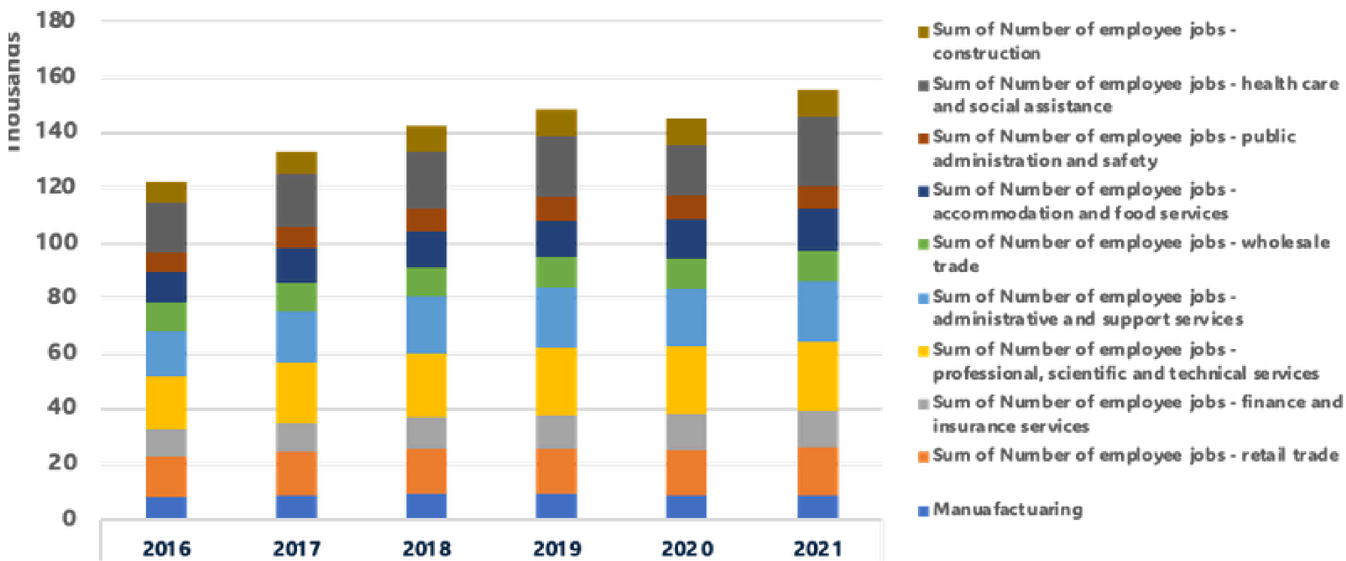

FIG 7: DISTRIBUTION OF JOB MARKET IN PARRAMATTA.

Total employment saw ***a steady increase from 2016-2021 (~up 41.67%)***, apart from a vulnerable downturn during 2020 (COVID pandemic). However, there's still an appropriate resilience with a bounce back again in 2021.

"***Professional, Scientific, and Technical Services*** shares the biggest pie in the job market, which is the top contributor for Parramatta's labor force, *whereas the manufacturing market held the smaller shares, remaining the same amount instantly.*

Key growth rate: ***Technology, Finance, Health, and Administration*** *- core industry driving a sustainable and robust economy -> demand for higher income housing and employment for professionals -> alight for the significant increase of the working age population analysis.*

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06 REFLECTION

PERFORMANCE EXPLAINATORY

Row Labels	Qtly change in Count (%)	Annual change in Count (%)	Qtly change in Median (%)	Annual change in Median (%)
Non Strata	16.00%	84.13%	8.66%	22.40%
Strata	16.19%	172.63%	2.16%	9.82%
Total	16.13%	136.07%	0.00%	-2.20%
Grand Total	**16.11%**	**130.94%**	**3.61%**	**10.01%**

FIG 8: HOUSING PROPERTY TYPES PERFORMANCE ON OVERALL.

In short-term change, there was no obvious gap between both types, 0.19% of non-land strata is far from away non-strata dwelling, as we need to adjust the inference from the higher volatility of QoQ growth rate previously (**fig.3**). Because **on a quarterly basis**, activity is relatively balanced.

>> ***The annual change in Median*** for total is **negative** (~down 2.2% compared to the mean of 10,01% increase). **Strata title transactions** in Parramatta seems to be **dominant** the total market (172.63%) figure despite the slower growth rate change in the median for total is negative (***~down 2.2% compared to the mean of 10,01% increase***).

The QoQ change in median show that when house and unit averaged together, **the strong gains from houses are offset by the weaker growth in units** (not a good choice to invest heavily on strata dwelling)

Non-Strata: +22.40% → strong price appreciation even though slower transaction count + pretty expensive and volatile but yield higher rewarding and -> land value lead to high capital gain
Strata: +9.82% → much slower price growth but sharply increase in transaction count -> potential properties to access market-entry level + expose to affordability-driven buyers

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04. CONCLUSION

High volality is not a fine, it's a fee

This report dive mainly in financial factor as one of the key factors to the investing decision for clients. Real estate investment is not for everyone, especially for those who are easily vulnerable to high risk in short-term. Parramatta's housing market is cyclical and volatile in the short term, with clear boom–bust phases. It rewards long-term investors who can ride out corrections, but short-term speculators face significant risk.

Recommendation:
For preferred investment areas, you generally want moderate, consistent, positive real price YoY growth (e.g., 3–6% annually), not erratic spikes or long-term declines. This balance suggests sustainable demand and healthier market fundamentals, lowering risk while providing steady capital gains.

REFERENCE

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